Higher National Diploma in Accountancy
Third Year, First Semester Examination - 2018
HNDA 3103 - Business Law

Instructions for Candidates:
Question 01 is compulsory
Answer five (05) questions including Question No 1

No. of questions : 06
No. of pages : 03
Time: Three (03) hours

Question 01

i. State two functions of law?

ii. Define the term "Jaffna Domicile/inhabitancy".

iii. Briefly explain the legal concept in Calill Vs.Carbolic Smoke Ball Company case.

iv. Mention the Judicial powers of the Supreme Court.

v. Sate three types of agents?

vi. Name two negotiable instruments.

vii. Define sales of goods contract.

viii. Name two parties who have no contractual capacity.

ix. State three types of employment contracts.

x. Give two characteristics of a bill of exchange?

(02 x 10 = 20 Marks)

Question 02

i. Briefly explain the ways that a contract become illegal? (05 Marks)

ii. Read the following incident carefully and advise the parties with relevant case law.

On 2nd September Silva offered a quantity of wool to Perera requiring an answer by post. Silva misdirected the letter, therefore it did not reach Perera until the evening of 5th September. On 5th September Perera posted a letter of acceptance which was received by Silva on 9th September.

If the original offer had been properly addressed, a reply could have been expected by 7th September and meanwhile on 8th September not having received such a reply, Silva had sold the wool to Milan.

(05 Marks)

iii. Discuss the instances which a contract becomes frustrated? (05 Marks)

iv. "A condition is a vital term and going to the root of the contract" justify above statement through judicial decision and the remedies to the damaged party.

(05 Marks)

(Total = 20 Marks)

Question 03

i. Distinguish a 'contract of sale" from "an agreement to sale". (05 Marks)

ii. What are the remedies available to the unpaid seller? (05 Marks)

iii. Briefly discuss the implied conditions contained in Sales of Goods Ordinance. (05 Marks)

iv. Discus the legal background which requires to create agency by necessity with relevant case laws.

(05 Marks)

(Total 20 Marks)

Question 04

i) Discus the difference between the contract of insurance and assurance? (04 Marks)

ii) Briefly discuss two fundamental principles of insurance? (04 Marks)

iii) Discuss the duties and functions of the Auditor General? (05 Marks)

iv) State 04 fundamental rights which included in the constitution and the remedies available for the infringement. (07 Marks)

(Total = 20 Marks)

Question 05

i) Discuss the rights of the “Holder in due course”. (05 Marks)

ii) Briefly explain the types of crossings and the legal effects. (05 Marks)

iii) Differentiate an order bill from bearer bill (05 Marks)

iv) Discus the rights and duties of the banker (05 Marks)

(Total = 20 Marks)

Question 06

i) Distinguish an Independent contractor from a workman. (04 Marks)

ii) List 08 areas covered by the establishment code related to the public servants. (08 Marks)

iii) State the circumstances an employee can withdraw his benefits from EPF. (08 Marks)

(Total = 20 Marks)